OFFERING MEMORANDUM

Cedar Station District | Orlando, FL

Property	Cedar Station District
Location	8117 Heritage Street, Orlando, FL 87518
Property Type	Mixed-Use
Size	371,994 SF
Year Built	2004
Offering	Unpriced - Offers Due July 23, 2022

Investor Distributions

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Distributions to investors for the quarter were paid at an annualized rate of 3.9% on contributed capital. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The property is walkable to transit, with 2 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.0% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Supply and Demand

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Employment growth is led by healthcare, logistics, education and professional services sectors. The property is walkable to transit, with 43 structured parking spaces shared between uses. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The property is walkable to transit, with 11 structured parking spaces shared between uses. The Orlando Mixed-Use market has experienced absorption of 1800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Mixed-Use product stands at 4.3%, down from 3.5% two years ago. Rent growth in the submarket has averaged 6.1% annually over the past 6 years.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 3.5% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The property is walkable to transit, with 7 structured parking spaces shared between uses. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Supply and Demand

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Disclaimer and Confidentiality

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Cedar Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of FL. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Cedar Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of FL. This document relates solely to Cedar Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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